

Types of Loans

The Bank provides several categories of credit products:

- **Project Financing** – For large-scale agricultural, industrial, and infrastructure projects.
- **Lease Financing** – For equipment, machinery, and asset acquisition.
- **External Fund & Credit Management** – Loans tied to external funding sources.
- **Consumer Loans** – For individuals (e.g., housing and car loans).
- **Interest-Free Banking (IFB)** – Murabaha and Ijarah financing models.
- **Idea/Equity Financing** – For innovative or equity-based projects.

Step-by-Step Loan Process (AS-IS Workflow)

The loan process is structured into **12 stages**:

1. Customer Sourcing

- Identify potential customers (walk-in or recruited).
- Collect data on investors and promote loan opportunities.

2. Loan Application Receiving, Document Screening & KYC

- Accept applications and check documents against a checklist.
- Conduct due diligence and assess creditworthiness.

3. Appraisal Stage

- Evaluate project viability.
- Prepare appraisal reports and incorporate technical/legal reviews.

4. Loan Review Stage

- Review proposals against policy.
- Provide consolidated comments and recommendations.

5. Loan Approval Stage

- Approval committee deliberates.
- Approve, pend, or reject applications.

6. Contract Signing & Registration

- Prepare loan and mortgage contracts.
- Legalize agreements and register documents.

7. Equity Release / Disbursement

- Release funds once conditions are met.

8. Implementation Stage

- Borrower executes the project with financing.

9. Follow-up & Monitoring

- Continuous oversight of project performance.

10. Collection Stage

- Ensure repayment through scheduled installments.

11. Loan Workout / Rescheduling

- Handle restructuring, rescheduling, or transfer of loans.

12. Bad Debt Write-off / Write-back

- Manage defaults and finalize accounting adjustments.

The Bank's loan process moves from customer identification → application → appraisal → review → approval → contract → disbursement → monitoring → repayment → resolution of defaults. Each loan type (project, lease, consumer, IFB, idea financing) follows this general framework but with product-specific workflows.